

The Power Was Never The Rate

What actually protects you when you buy, what waiting really costs, and the three moves I walk every buyer through before they decide to sit this market out.

01

Equity Wins, Starting Day One

- Every mortgage payment splits into principal and interest, and even early on, a real slice of it is paying down what you owe, not renting your own future.
- Run the math on your actual target price: at most rates, year one alone builds more equity than people expect, and that number is yours no matter what rates do after you close.
- Appreciation is a bonus on top of that, not the reason to buy. The equity from paying down principal happens whether or not the market moves at all.

EQUITY

02

What Waiting Is Actually Costing You

- Add up a full year of rent against what that same money would've put toward your own principal. That's the real number, not the headline rate.
- Rent typically rises every renewal. Your mortgage payment on a fixed-rate loan doesn't, so the gap between "waiting" and "owning" tends to widen, not shrink.
- If you're saving for a bigger down payment while you wait, compare that savings rate against local price growth. In a lot of LA submarkets right now, prices are outpacing what people are able to save.

COST

03

Buy The House, Not The Rate

- A rate isn't permanent. A refinance later resets your rate, not your equity, so the ownership clock you started today keeps running either way.
- Ask about a temporary buydown or seller credit toward points before you assume today's rate is the one you're stuck with for 30 years.
- The house that's right for you doesn't go on pause while you wait for a number. Someone else's offer doesn't wait either.

TIMING



FROM JULIA

"I'm not telling you to ignore the rate. I'm telling you it's not the thing that protects you. Ownership is."

Buy the house, not the rate.

BEYOND THE RATE

Three more things worth knowing, straight from what I tell my own buyers.

BEYOND 01

How a temporary rate buydown actually works

A 2-1 or 3-2-1 buydown lowers your effective rate for the first one to three years of the loan, usually paid for upfront by the seller or builder as a negotiated credit. It's not a permanent rate cut; it's breathing room while you settle in, and it can be the difference between qualifying comfortably now versus waiting on a rate drop that isn't guaranteed to come.

BEYOND 02

A seller credit toward points isn't the same as a price cut

Asking a seller to cover discount points instead of lowering the price can buy down your actual rate for the life of the loan, which moves your real monthly payment more than the same dollar amount off the purchase price would. In a market where sellers have room to negotiate, this is often an easier yes for them than it looks.

BEYOND 03

Refinancing resets your amortization clock

When you refinance, you're starting a new loan with its own schedule, which means in the early years again, more of each payment goes to interest before it tips back toward principal. That doesn't make refinancing a bad move when rates genuinely drop; it means it's worth being deliberate about when you do it, not just chasing the first lower number you see.